DEMAND IN ECONOMICS

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wants

wants are human desires for goods and services that provide satisfaction but are not essential for survival. While needs such as food, clothing, and shelter are necessary to live, wants go beyond these basics and reflect comfort, luxury, and lifestyle preferences. For example, rice and bread are needs, but chocolates, smartphones, or designer clothes are wants. One of the most important characteristics of wants is that they are unlimited—as soon as one want is satisfied, another arises. They are also changeable, meaning they vary over time, place, age, and social status. For instance, a child may want toys, while an adult may want a car or a house. Moreover, wants are competitive because resources like money and time are limited, so individuals must make choices and prioritize some wants over others. Economists also highlight that wants form the basis of demand; when a want is supported by purchasing power and willingness to spend, it transforms into actual demand in the market. Thus, wants play a crucial role in shaping consumer behavior and influencing how scarce resources are allocated in an economy.

Purchasing power

Purchasing power refers to the ability of an individual, group, or country to buy goods and services with the amount of money they have. It shows how much a unit of currency (like 1 Taka, 1 Dollar, or 1 Euro) can buy in terms of products and services.

Willingness

Willingness means a person’s desire or readiness to buy a good or service. It reflects whether someone wants to spend money on a product. Example: You may have enough money to buy a car (purchasing power), but if you prefer to save that money instead of buying, then you lack willingness.

Desire / wants + Ability + Willingness = Demand

Demand

Demand is a consumer's desire to purchase goods and services and willingness to pay a specific price at a specific time.

Demand is a consumer's willingness to buy something, and demand is generally related to the price that consumer would have to pay.

Generally, **demand increases when prices drop** and decreases when prices rise. Market demand is the total quantity demanded by all consumers in a market for a given good, and aggregate demand is the total demand for all goods and services in an economy.

- The law of demand concerns consumers' changing desire to purchase goods and services at given prices.
- Demand can refer to either market demand for a specific good or aggregate demand for the total of all goods in an economy.
- Demand and supply determine the actual prices of goods and the volume that changes hands in a market.
- Businesses study demand to price products to meet demand and generate profits.
- The demand curve demonstrates visually how the decreasing price for a product increases the quantity purchased.

Five main factors drive demand:

1. **Product/service price:** When prices are low, demand usually increases.
2. **Buyer's income:** Demand tends to increase when people earn more and have more money to spend.
3. **Prices of substitute goods:** Substitute goods can satisfy demand for a similar product. When the price for substitutes rises, demand for the original product may increase.
4. **Consumer preferences:** Demand generally increases when people develop a preference for that product.
5. **Consumer expectations for a price change:** Consumer demand will likely increase if they expect prices to rise in the future.

As these factors change, so can the demand for a product or service. They change all the time, so demand can be constantly in flux.

The Law of Demand

- The law of demand highlights the inverse relationship between demand and prices. It states that when prices rise, demand will fall. Conversely, when prices fall, demand will rise.
- The law of demand involves price only. None of the other drivers of demand mentioned above are involved. As such, things like consumer preferences, substitutes, and price expectations don't apply. If they do come into play, the functioning of the law can be affected. Demand can be seen to change for reasons other than price.

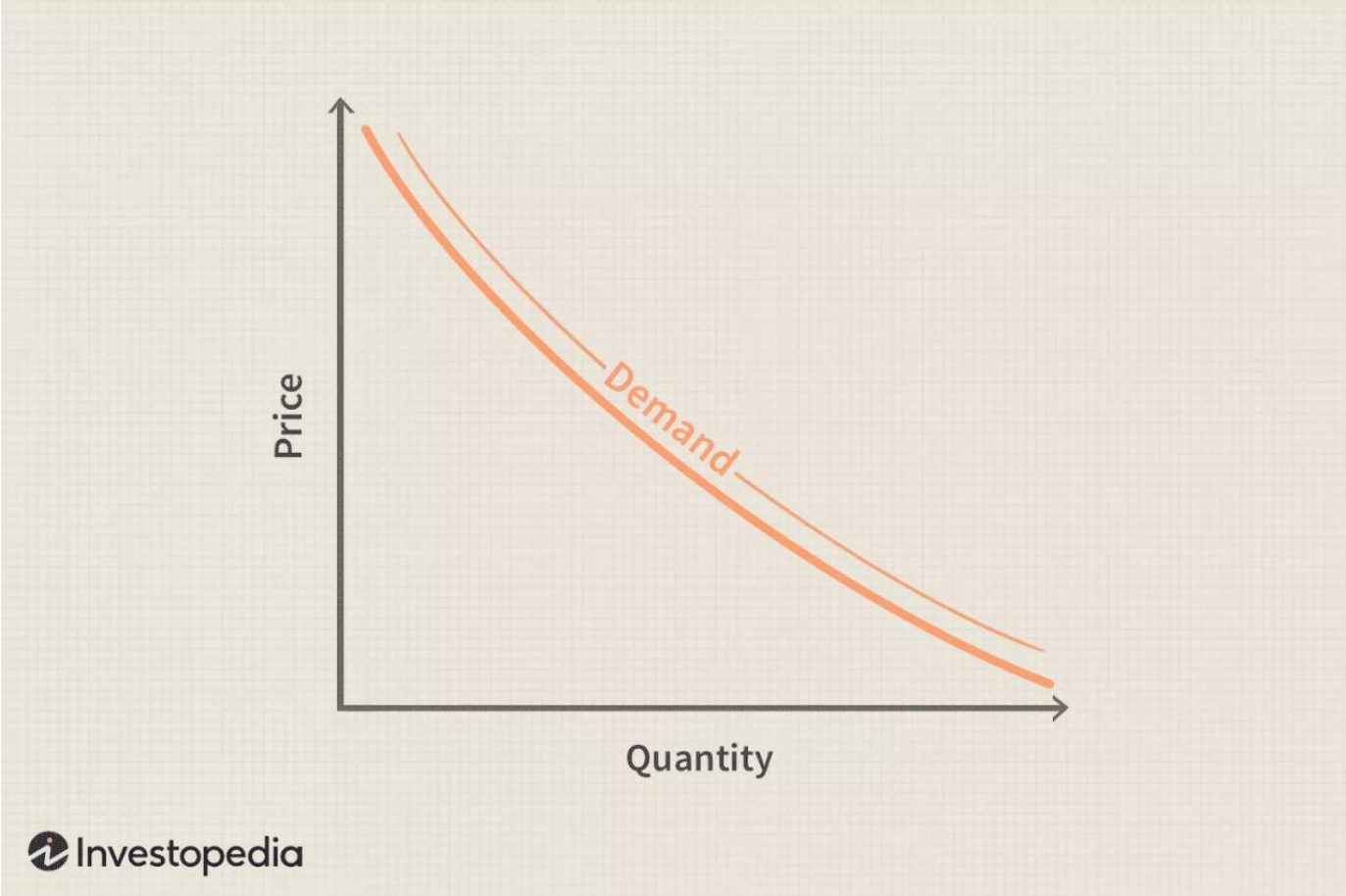
Demand Curve

A **demand curve** is a graph that displays the change in demand resulting from a price change. It's a visual representation of the law of demand. It's a useful tool for businesses because it can show them the prices at which consumers buy more or less. It can point out prices at which a company can maintain consumer demand and support reasonable profits.

The vertical axis on a demand curve graph denotes the price, while the horizontal axis denotes the quantity demanded. A demand schedule, or a table created by a business that lists the quantity of a product that consumers will buy at particular price points, can provide the figures for the demand curve chart

Once plotted, the demand curve slopes downward, from left to right. As prices increase, consumers demand less of a good or service. A supply curve, on the other hand, slopes upward. As prices increase, suppliers provide more of a good or service.

Demand curve



Why Is Demand Important?

Economically speaking, the principle of demand is important for both consumers and businesses that sell products and/or services. For businesses, understanding demand is vital when making decisions about inventory, pricing, and aiming for a particular profit. Consumers who have an understanding of demand can make confident decisions about what products to buy and when to buy them

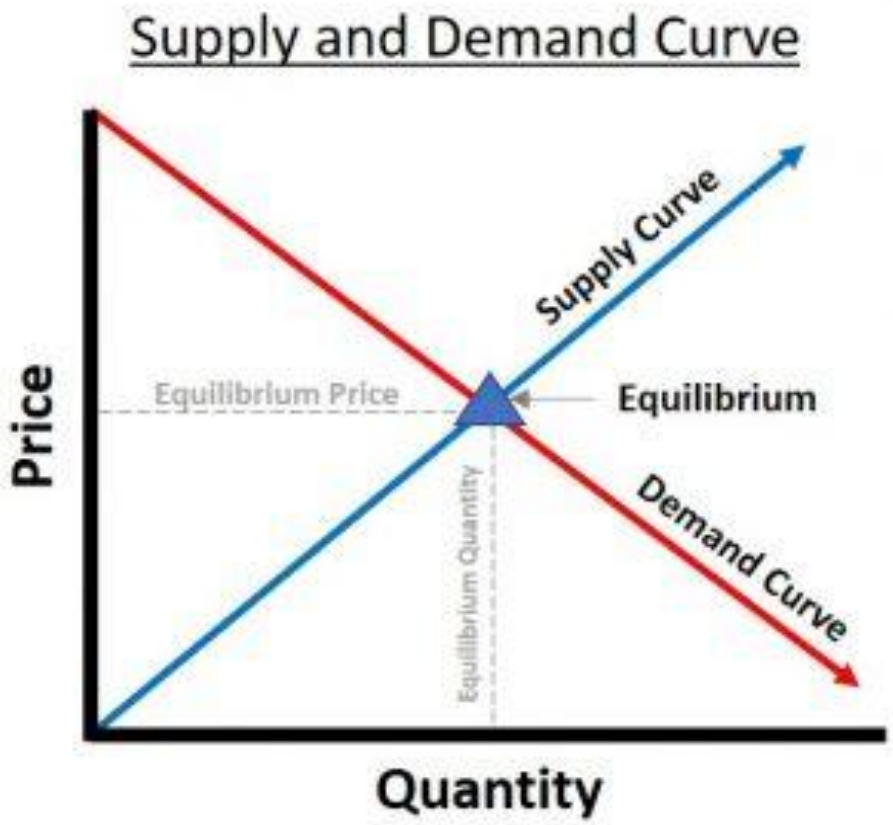
The Law of Supply and Demand.

The price where supply and demand meet is known as the equilibrium price. At that price point, suppliers produce just enough of a good or service to satisfy demand, and everyone who wants to purchase the product can do so.

In practice, of course, balancing supply and demand is more complex. As supply and demand fluctuate, the equilibrium price can vary over time. Furthermore, the law of supply and demand assumes that all other factors that can affect pricing remain constant.

In reality, that's often not the case. For example, fluctuating production costs or supply chain problems can have a big impact on pricing.

The law of supply and demand is a theory that explains the interaction between the sellers of a resource and the buyers for that resource.



Supply and Demand Outcomes

The four (4) basic outcomes of supply and demand are:

- If demand increases and supply remains unchanged, a shortage occurs, leading to a higher equilibrium price.
- If demand decreases and supply remains unchanged, a surplus occurs, leading to a lower equilibrium price.
- If demand remains unchanged and supply increases, a surplus occurs, leading to a lower equilibrium price.
- If demand remains unchanged and supply decreases, a shortage occurs, leading to a higher equilibrium price.

Why Is the Law of Supply and Demand Important?

- Business success in any competitive market depends on accurately assessing supply and demand. Every company that launches a new product needs to determine how much of the product to make and how much to charge. A business that manufactures too much of a product or sets prices higher than customers will pay can easily find itself left with products that don't sell and become dead stock. On the other hand, understocking or setting prices too low reduces profits and can drive away customers who can't wait for backorders to be fulfilled. Demand forecasting can help businesses determine the optimal supply level and find the equilibrium price - the price at which the supply just meets customer demand.